Quiz 3 — Short Answer

SID-50103 | ECON2001 Quiz 3

1. Question 1

Define opportunity cost and comparative advantage, giving an example of each.

Opportunity cost is the value of the best alternative forgone. For a firm that uses its own warehouse, the opportunity cost includes the rent it could have earned by leasing the warehouse to someone else. Comparative advantage exists when one producer has a lower opportunity cost of producing a good than another. A lawyer who types faster than her assistant should still let the assistant type, because the lawyer's opportunity cost of typing, in lost legal fees, is much higher.

2. Question 2

Use a supply and demand model to analyse a binding rent ceiling in a city rental market, in the short run and the long run.

With a binding ceiling, the legal rent is held below equilibrium, so quantity demanded exceeds quantity supplied. In the short run the supply curve is steep, so quantity supplied falls only slightly and the shortage is mainly caused by higher quantity demanded. In the long run supply is flatter, so landlords withdraw units and reduce maintenance, and the shortage widens. Because price cannot ration apartments, non-price rationing appears, such as waiting lists, key money and discrimination.

3. Question 3

Evaluate the trade-offs between a rent ceiling and targeted housing vouchers.

The ceiling transfers surplus from landlords to the tenants who obtain apartments, but creates deadweight loss and misallocation, because apartments do not go to those who value them most. Vouchers raise demand rather than capping price, so they avoid shortages and can be targeted by income, but they require taxation and, if supply is inelastic in the short run, part of the subsidy is captured by landlords through higher rents. On balance vouchers are preferable, provided supply can respond, for example through planning reforms.